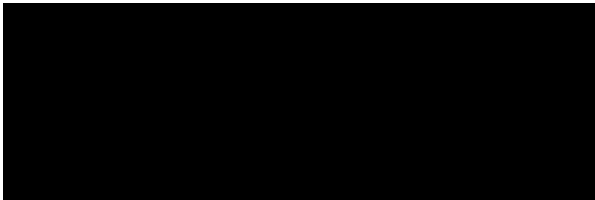


JUSTIFICATION AND APPROVAL FOR OTHER THAN FULL AND OPEN COMPETITION

1. **Contracting Activity:** US Army Engineer District, Corps of Engineers, PO Box 59, Louisville, KY 40201-0059
2. **Description of Action:** This Justification and Approval (J&A) is being prepared for the specification of a sole-service water and sewer utility provider, operated by Khayes Limited, for the construction of the Small Arms Ammunition Magazine project at Blue Grass Army Depot (BGAD), Kentucky. The Government will not purchase the service and connection directly but rather will include a requirement for the construction contractor to provide the specific water and sewer utility service and connection in the RFP solicitation that will lead to a new firm-fixed-price (FFP), Design build construction contract. The contract will be funded with MILCON funds.
3. **Description of the Supplies/Service:** This action includes the cost required for the water and sewer utility service operated by Khayes Limited for the new construction of the Small Arms Ammunition Magazine. The estimated cost of these services is [REDACTED]
4. **Authority Cited:** 10 United States Code (U.S.C.) 3204(a)(1), as implemented by the Revolutionary Federal Acquisition Regulation Overhaul (RFO) 6.103-1 "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements."
5. **Reason for Authority Cited:**
 - a. **Background:** The Small Arms Ammunition Magazine project at Blue Grass Army Depot calls for the construction includes an Ammunition Storehouse for Small Arms Ammunition, an Ammunition Surveillance Shop/Administrative Shop, Shipping/Receiving Apron, and Organizational Vehicle Parking. Facilities include loading docks, ramps, lightning protection system, information systems, fire protection and alarm systems, and Energy Monitoring Control Systems (EMCS) connection. Heating and air conditioning will be provided by a self-contained system. Supporting facilities include utilities (water, sewer, gas, electric), site lighting, organizational parking, access roads, paving, sidewalks, storm drainage, information systems, and site improvements. Post Construction Award Services (PCAS) are required. Measures in accordance with the Department of Defense (DoD) Minimum Antiterrorism for Buildings standards will be provided. Comprehensive building and furnishings-related interior design services are required. Access for individuals with disabilities will be provided. Cybersecurity Measures will be incorporated into this project.
 - b. **Justification:** The Khayes Limited water and sewer utility is the sole source of this utility service to the site.
 - c. **Alternatives:** No other water and sewer utilities are available to this site.
 - d. **Impact:** In order for the Small Arms Ammunition Magazine project at Blue Grass Army Depot to have the necessary water and sewer service necessary to support

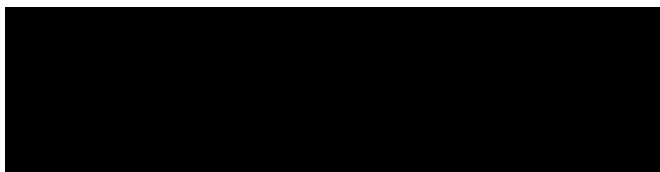
the project it must use the only utility available. Unless Khayes Limited water and sewer utility is used, the project will either lack this key supporting service and be unable to function or be fit for occupancy.

6. **Efforts to Obtain Competition:** There are no other water and sewer utilities available to this site.
7. **Actions to Increase Competition:** Apart from the extraordinary measures of installing an entire new utility infrastructure to this site there are no reasonable alternatives to increase competition.
8. **Market Research:** A technical review and evaluation was conducted of the system requirements for the Small Arms Ammunition Magazine project. As discussed above, in paragraph 5, only the BGAD water and sewer utility service will be available and function at this site.
9. **Interested Sources:** Khayes Limited is the sole provider of water and sewer utility services on the installation. This utility service is exempt from synopsis in accordance with RFO 5.101(b)(1)(vi).
10. **Other Factors:** None.
11. **Technical Certification:** I certify that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and



Technical Lead

12. **Requirements Certification:** I hereby determine that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and belief.



Project Manager

13. **Fair and Reasonable Cost Determination/Contracting Officer Certification:** I certify that this justification is accurate and complete to the best of my knowledge and belief.

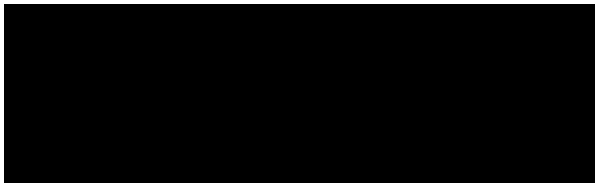
I hereby determine that an anticipated cost of the BGAD water and sewer utility service for Khayes Limited for the Small Arms Ammunition Magazine project at Blue Grass Army Depot, KY will be fair and reasonable based upon the estimate outlined in paragraph 3. At time of evaluating proposal

price, the overall proposed price will be evaluated for fair and reasonableness. I recommend this approach to the prompt attainment of services for the upcoming construction.



Contracting Officer

14. Legal Review and Concurrence: I hereby determine that the information herein is legally sufficient, and I concur with the sole source procurement.



Assistant District Counsel